

you don't want to let down, or judged against the silly but realistic competitors that are your brother-in-law, your neighbor, and your own personal doubts. Investing has a social component that's often ignored when viewed through a strictly financial lens.

The second is that *this is fine*. Jason Zweig, who conducted the interview when Markowitz described how he invested, later reflected:

My own view is that people are neither rational nor irrational. We are human. We don't like to think harder than we need to, and we have unceasing demands on our attention. Seen in that light, there's nothing surprising about the fact that the pioneer of modern portfolio theory built his initial portfolio with so little regard for his own research. Nor is it surprising that he adjusted it later.^{[38](#)}

Markowitz is neither rational or irrational. He's reasonable.

What's often overlooked in finance is that something can be technically true but contextually nonsense.

In 2008 a pair of researchers from Yale published a study arguing young savers should supercharge their retirement accounts using two-to-one margin (two dollars of debt for every dollar of their own money) when buying stocks. It suggests investors taper that leverage as they age, which lets a saver take more risk when they're young and can handle a magnified market rollercoaster, and less when they're older.

Even if using leverage left you wiped out when you were young (if you use two-to-one margin a 50% market drop leaves you with nothing) the researchers showed savers would still be better off in the long run so long as they picked themselves back up, followed the plan, and kept saving in a two-to-one leveraged account the day after being wiped out.

The math works on paper. It's a rational strategy.

But it's almost absurdly unreasonable.

No normal person could watch 100% of their retirement account evaporate and be so unfazed that they carry on with the strategy undeterred. They'd quit, look for a different option, and perhaps sue their financial advisor.

The researchers argued that when using their strategy "the expected retirement wealth is 90% higher compared to life-cycle funds." It is also 100% less reasonable.